



Company Registration Number-PV/PB 13254 PQ

INTERIM FINANCIAL STATEMENTS

**FOR THE THREE MONTHS ENDED
30TH JUNE 2019
(First Quarter)**

JETWING SYMPHONY PLC

CORPORATE INFORMATION

NAME OF COMPANY	Jetwing Symphony PLC Company Number PV/PB 13254 PQ
LEGAL FORM	Public quoted Company with Limited Liability incorporated in Sri Lanka in 2007. The ordinary shares of the Company were Listed in the Colombo Stock Exchange on 5th January 2018
BOARD OF DIRECTORS	N.J.H.M.Cooray - Chairman N.T.M.S.Cooray (Ms) K.K. Reddy (Ms) N.Wadugodapitiya Dr. V. Kannangara L.K Porter G. Rocchi Y. Fernando (Ms) S. D. Amalean
SECRETARIES	Corporate Services (Pvt) Ltd 216, De Saram Place Colombo 10. Phone : 4718200
AUDITORS	Messrs Ernst & Young Chartered Accountants 201, De Saram Place Colombo 10.
HOTEL OPERATION & MARKETING	Jetwing Hotels Ltd "Jetwing House" 46/26, Nawam Mawatha Colombo 2. Phone : 4709400 E-mail : reservations@jetwinghotels.com Web : www.jetwinghotels.com
REGISTERED OFFICE	"Jetwing House" 46/26, Nawam Mawatha Colombo 2.

JETWING SYMPHONY PLC

CHAIRMAN'S MESSAGE

To the Shareholders and Well-wishers of Jetwing Symphony PLC,

As we come to the end of the most difficult quarter since Jetwing Symphony's inception and for our country as whole since the end of the civil war, I wanted to pen a few words to express a glimpse of optimism for the months to follow.

To start off with, we have received an overwhelming amount of love and support from our international travel partners and friends in media. I saw this first-hand when I was a panellist at an event in London organized by the Association of Independent Tour Operators (AITO-UK) and the Sri Lanka Tourism Alliance. They showed genuine compassion and pledged to work together with Sri Lankan hotels and Destination Management Companies (DMC's) to minimize the recovery period, so that we can return to the normal flow of tourists sooner than expected.

Next, I want to highlight, and from the bottom of my heart, thank our loyal Sri Lankan customers. In our hour of need, we received an incredible response and I was humbled by the confidence they placed in our brand. We have always encouraged all travellers, both local and foreign, and we are confident our strong relationship with the Sri Lankan travellers will continue in the years to come.

We are seeing a monthly pick up, and we are hopeful that we will be in a better position during the winter months, our traditional peak season. Our recovery so far has been better than expected, hence we are confident that the Number 1 island in the world (Travel+Leisure) and the Number 1 destination to travel (Lonely Planet) will be a front-runner once again!

Ayubowan!

N.J.H.M Cooray
Chairman
9th August 2019
Colombo

JETWING SYMPHONY PLC
STATEMENT OF FINANCIAL POSITION

AS AT	GROUP		COMPANY	
	Unaudited	Audited	Unaudited	Audited
	30.06.2019 Rs.'000	31.03.2019 Rs.'000	30.06.2019 Rs.'000	31.03.2019 Rs.'000
ASSETS				
Non - Current Assets				
Property, Plant and Equipment	8,951,864	8,987,612	-	-
Prepaid Lease Rent	-	47,049	-	-
Intangible Assets	582,624	582,926	-	-
Right of Use Assets	77,204	-	-	-
Investment in Subsidiary	-	-	5,419,233	5,419,233
Other Investments	841	885	-	-
	9,612,533	9,618,472	5,419,233	5,419,233
Current Assets				
Inventories	55,236	59,499	-	-
Trade and Other Receivables	123,897	257,213	65,452	61,811
Income Tax Receivable	536	536	-	-
Other Current Financial Assets	126,546	182,310	-	5,000
Cash at Bank and in Hand	24,832	49,530	1,350	665
	331,047	549,088	66,802	67,476
Total Assets	9,943,580	10,167,560	5,486,035	5,486,709
EQUITY AND LIABILITIES				
Equity Attributable to equity holders of the Parent				
Stated Capital	5,509,276	5,509,276	5,509,276	5,509,276
Revaluation Reserve	934,175	934,175	-	-
Retained Earnings/ (Losses)	(1,286,016)	(1,124,390)	(32,238)	(32,552)
	5,157,435	5,319,061	5,477,038	5,476,724
Non Controlling Interest	18,710	21,434	-	-
Total Equity	5,176,145	5,340,495	5,477,038	5,476,724
Non-Current Liabilities				
Interest-bearing Loans & Borrowings	2,633,769	2,233,775	-	-
Post-Employment Benefit Liability	32,276	30,516	-	-
Deferred Tax liability	247,390	247,390	-	-
	2,913,435	2,511,681	-	-
Current Liabilities				
Current portion of Interest-bearing Loans & Borrowings	1,656,409	2,043,566	-	-
Trade and Other Payables	189,309	263,229	1,601	2,284
Income Tax Payable	8,282	8,589	7,396	7,701
	1,854,000	2,315,385	8,997	9,985
Total Liabilities	4,767,435	4,827,065	8,997	9,985
Total Equity and Liabilities	9,943,580	10,167,560	5,486,035	5,486,709

The Statement of Financial Position as at 30th June 2019, the Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity and Cash Flow Statement for the Three months ended are drawn up from the unaudited financial statements of the Group/Company and they provide the information required by the Colombo Stock Exchange.

It is certified that the financial statements have been prepared in compliance with the requirements of the Companies Act No.7 of 2007.


C.S.R.S. Anthony
 Director - Jetwing Hotels Ltd, Managing Agents

The Board of Directors is responsible for these financial statements. Signed for and on behalf of the Board by.


N.J.H.M. Cooray
 Chairman


N.T.M.S. Cooray
 Director

Colombo
 9th August 2019

JETWING SYMPHONY PLC
STATEMENT OF PROFIT OR LOSS - GROUP

YEAR ENDED		03 MONTHS ENDED		
Audited		Unaudited	Unaudited	Variance
31.03.2019		30.06.2019	30.06.2018	Favourable/
Rs.'000		Rs.'000	Rs.'000	(Unfavourable)
1,911,321	Revenue	289,199	298,652	-3%
(315,998)	Cost of Sales	(57,111)	(57,032)	0%
1,595,323	Gross Profit	232,088	241,620	-4%
16,065	Other Income & Gains	678	1,621	-58%
(73,789)	Marketing & Promotional Expenses	(11,619)	(13,710)	15%
(892,426)	Administrative Expenses	(190,923)	(183,121)	-4%
645,173	Profit from Operations	30,224	46,410	-35%
(324,623)	Depreciation & Amortisation	(79,766)	(81,486)	2%
(457,605)	Finance Expenses	(116,042)	(105,999)	-9%
21,460	Finance Income	3,913	39	9,934%
(155,656)	Exchange Gain/(Loss) from Conversion of Foreign Currency Loan	(2,113)	(17,727)	88%
(271,251)	Profit/(Loss) Before Tax	(163,784)	(158,763)	-3%
(9,337)	Income Tax Expenses	(566)	47	-1303%
(280,588)	Profit/(Loss) for the Period	(164,350)	(158,716)	-4%
Attributable to:				
(279,457)	Equity holders of the Parent	(161,626)	(155,258)	
(1,131)	Non-controlling Interest	(2,724)	(3,458)	
(280,588)		(164,350)	(158,716)	
(0.56)	Basic earnings per share for the period (Rs.)	(0.32)	(0.31)	
Notes				
5,509,276	1. Stated capital issued and fully paid	5,509,276	5,509,276	
	(502,188,559 Ordinary Shares)			
	2. Figures in brackets indicate deductions			

JETWING SYMPHONY PLC
STATEMENT OF PROFIT OR LOSS - COMPANY

YEAR ENDED		03 MONTHS ENDED		
Audited		Unaudited	Unaudited	Variance
31.03.2019		30.06.2019	30.06.2018	Favourable/ (Unfavourable)
Rs.'000		Rs.'000	Rs.'000	
-	Revenue	-	-	-
-	Cost of Sales	-	-	-
-	Gross Profit	-	-	-
10,727	Other Income & Gains	-	21	-100%
-	Marketing & Promotional Expenses	-	-	-
(6,551)	Administrative Expenses	(1,140)	(1,643)	31%
4,176	Profit from Operations	(1,140)	(1,622)	30%
(8)	Finance Cost	(0)	(7)	99%
19,135	Finance Income	2,020	-	-
23,303	Profit/(Loss) Before Tax	880	(1,629)	154%
(8,361)	Income Tax Expenses	(566)	-	-
14,942	Profit/(Loss) for the Period	314	(1,629)	119%
0.03	Basic earnings per share for the period (Rs.)	0.001	(0.003)	

Notes

5,509,276	1. Stated capital issued and fully paid (502,188,559 Ordinary Shares)	5,509,276	5,509,276
	2. Figures in brackets indicate deductions		

JETWING SYMPHONY PLC
STATEMENT OF OTHER COMPREHENSIVE INCOME - GROUP

YEAR ENDED		03 MONTHS ENDED	
Audited		Unaudited	Unaudited
31.03.2019		30.06.2019	30.06.2018
Rs.'000		Rs.'000	Rs.'000
(280,588)	Net Profit/(Loss) for the period	(164,350)	(158,716)
	Other Comprehensive Income		
	<i>Other Comprehensive Income to be reclassified to Statement of Profit or Loss in subsequent periods :</i>		
-	Gain/(Loss) on Available for Sale Financial Instruments	-	8,547
10,687	Gain/(Loss) on FVTOCI Financial Instruments	-	-
(11,011)	Reclassification adjustments for Gains included in the Statement of Profit or Loss	-	(105)
	<i>Other Comprehensive Income not to be reclassified to Statement of Profit or Loss in subsequent periods :</i>		
1,051	Actuarial gain/(Loss) on Post-Employment Benefit Liabilities	-	-
260,875	Revaluation Surplus of Freehold Land	-	-
(36,522)	Deferred Tax on Revaluation Surplus	-	-
225,080	Other Comprehensive Income/(Loss) for the Period	-	8,442
(55,508)	Total Comprehensive Income/(Loss) for the Period	(164,350)	(150,274)
	Attributable to:		
(54,397)	Equity holders of the Parent Company	(161,626)	(146,816)
(1,110)	Non-controlling Interest	(2,724)	(3,458)
(55,507)		(164,350)	(150,274)

JETWING SYMPHONY PLC
STATEMENT OF OTHER COMPREHENSIVE INCOME - COMPANY

YEAR ENDED		03 MONTHS ENDED	
Audited		Unaudited	Unaudited
31.03.2019		30.06.2019	30.06.2018
Rs.'000		Rs.'000	Rs.'000
14,942	Net Profit/(Loss) for the period	314	(1,629)
	Other Comprehensive Income		
	<i>Other Comprehensive Income to be reclassified to Statement of Profit or Loss in subsequent periods :</i>		
-	Gain/(Loss) on Available for Sale Financial Instruments	-	7,727
10,409	Gain/(Loss) on FVTOCI-Financial Instruments	-	-
(10,727)	Reclassification adjustments for Gains included in the Statement of Profit or Loss	-	(21)
(318)	Other Comprehensive Income/(Loss) for the Period	-	7,706
14,624	Total Comprehensive Income/(Loss) for the Period	314	6,077

JETWING SYMPHONY PLC
STATEMENT OF CHANGES IN EQUITY - GROUP

	ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT						Non-Controlling Interest	Total Equity
	Stated Capital	Available for Sale Reserve	Fair Value Reserve	Revaluation Reserve	Retained Earnings	Total		
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 01st April 2018	5,509,276	(495)	-	709,822	(845,143)	5,373,460	22,543	5,396,003
Profit / (Loss) for the period	-	-	-	-	(155,258)	(155,258)	(3,458)	(158,716)
Other Comprehensive Income/(Loss)	-	8,442	-	-	-	8,442	-	8,442
Total Comprehensive Income/(Loss)	-	8,442	-	-	(155,258)	(146,816)	(3,458)	(150,274)
Balance as at 30th June 2018	5,509,276	7,947	-	709,822	(1,000,401)	5,226,644	19,085	5,245,729
Balance as at 1 April 2019	5,509,276	-	-	934,175	(1,124,390)	5,319,061	21,434	5,340,495
Profit / (Loss) for the Period	-	-	-	-	(161,626)	(161,626)	(2,724)	(164,350)
Other Comprehensive Income	-	-	-	-	-	-	-	-
Total Comprehensive Income	-	-	-	-	(161,626)	(161,626)	(2,724)	(164,350)
Balance as at 30th June 2019	5,509,276	-	-	934,175	(1,286,016)	5,157,435	18,710	5,176,145

Note

Comparative figures for 30th June 2018 has been prepared based on LKAS 39 in line with Statement of Alternative Treatment (SoAT) on the figures in the interim financial statements.

JETWING SYMPHONY PLC
STATEMENT OF CHANGES IN EQUITY - COMPANY

	Stated Capital Rs.'000	Available for Sale Reserve Rs.'000	Fair Value Reserve Rs.'000	Retained Earnings Rs.'000	Total Rs.'000
Balance as at 01st April 2018	5,509,276	318	-	(47,494)	5,462,100
Profit/ (Loss) for the Period	-	-	-	(1,629)	(1,629)
Other Comprehensive Income	-	7,706	-	-	7,706
Total Comprehensive Income	-	7,706	-	(1,629)	6,077
Balance as at 30th June 2018	5,509,276	8,024	-	(49,123)	5,468,177
Balance as at 1 April 2019	5,509,276	-	-	(32,552)	5,476,724
Profit / (Loss) for the Period	-	-	-	314	314
Other Comprehensive Income	-	-	-	-	-
Total Comprehensive Income	-	-	-	314	314
Balance as at 30th June 2019	5,509,276	-	-	(32,238)	5,477,038

Note

Comparative figures for 30th June 2018 has been prepared based on LKAS 39 in line with Statement of Alternative Treatment (SoAT) on the figures in the interim financial statements.

JETWING SYMPHONY PLC
STATEMENT OF CASH FLOWS

FOR THE 3 MONTHS ENDED

Cash Flows from Operating Activities

	GROUP	COMPANY
	Unaudited 30.06.2019 Rs.'000	Unaudited 30.06.2018 Rs.'000
Profit/(Loss) before Tax	(163,784)	(158,763)

Adjustments for

Interest Received	(3,913)	(39)
Depreciation & Amortization	79,766	82,220
Finance Costs	116,042	105,999
(Profit)/Loss on Disposal of Fixed Assets	192	(637)
Capital Gain on Sale of Investments	-	(105)
Exchange (Gain)/Loss on Foreign Currency Loan Conversion	2,113	17,727
Fair Value loss from Unrealized shares	44	-
Provision for Retirement Benefit Obligation	1,952	1,632

Operating Profit/(Loss) before Working Capital Changes	32,412	48,034
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(Increase)/Decrease in Inventories	4,263	2,618
(Increase)/Decrease in Trade and Other Receivables	133,316	88,941
Increase/(Decrease) in Trade and Other Payables	(73,921)	(42,521)

Cash Generated From/(Used in) Operations	96,070	97,074
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Income Tax Paid	(873)	(236)
Finance Cost Paid	(64,745)	(105,999)
Defined Benefit Plan Costs Paid net of transfers	(192)	(767)

Net Cash From/(Used in) Operating Activities	30,260	(9,929)
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Cash Flows From/(Used in) Investing Activities

Acquisition of Property, Plant and Equipment	(44,762)	(22,938)
Net Investment in fixed deposits	50,000	-
Proceeds from Sale of Property, Plant and Equipment	-	4,687
Short Term Loans (Granted)/settled	-	-
Net Investment in Unit Trust	-	6,600
Interest Received	3,913	39

Net Cash Flows From/(Used in) Investing Activities	9,151	(11,612)
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Cash Flows From/(Used in) Financing Activities

Repayment of Interest bearing borrowings	(116,379)	(80,705)
Cost of Issue of Shares	-	(59)
Proceeds received from Grants	-	200

Net Cash Flows From/(Used in) Financing Activities	(116,379)	(80,564)
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Net Increase/(Decrease) in Cash & Cash Equivalents	(76,968)	(102,104)
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Cash and Cash Equivalents at the beginning of the period	(1,206,723)	(722,832)
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Cash and Cash Equivalents at the end of the period	(1,283,691)	(824,936)
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Cash and Bank Balance	24,832	42,375
Short Term Deposit	1,546	2,815
Bank Overdraft	(1,310,068)	(870,126)
Cash and Cash Equivalents at the end of the period	(1,283,691)	(824,936)

JETWING SYMPHONY PLC
INVESTOR INFORMATION

	30.06.2019	30.06.2018
Market Value of Shares*	(Rs.)	(Rs.)
Last Traded price on	8.80	13.40
Highest price recorded for the three months ending	11.70	15.00
Lowest price recorded for the three months ending	8.70	11.00
Market Capitalisation (Rs.Mn.)	4,419	6,729
Ratios		
Net assets per share	10.27	10.41
Share trading for the Three months ended*		
Number of transactions	151	80
Number of shares traded	96,630	8,344
Value of shares traded (Rs.)	911,343	109,825

Twenty Largest Shareholders as at 30th June 2019

Name of Shareholder	No. of Shares as at 30.06.2019	%
01. Jetwing Travels (Pvt) Ltd	93,767,471	18.67
02. R.O.K. International Holdings Ltd	90,909,091	18.10
03. Blue Oceanic Beach Hotel (Pvt) Ltd	66,214,150	13.19
04. Employees Provident Fund	35,454,545	7.06
05. N.J. Cooray Builders (Pvt) Ltd	29,088,096	5.79
06. Mrs. A.M.J. Cooray	27,374,055	5.45
07. Amaliya Private Limited	25,109,400	5.00
08. Mr L.Weinman	22,727,273	4.53
09. Mr. N.J.H.M. Cooray	21,060,311	4.19
10. Ms. N.T.M.S. Cooray	19,179,297	3.82
11. RMP Partners Ltd	11,505,676	2.29
12. Jetwing Hotels Management Services (Pvt) Ltd	5,562,059	1.11
13. St. Andrew's Hotel (Pvt) Ltd	5,100,000	1.02
14. Seylan Bank PLC. - A/C NO. 3	3,328,749	0.66
15. Mr. N.J.D.M. Cooray	3,286,997	0.65
16. Mr. N.H.V. Perera	3,186,609	0.63
17. Nilaveli Beach Hotels (Pvt) Limited	3,102,755	0.62
18. Mr. N.J.H.Cooray	2,861,439	0.57
18. Mr. N.A.H.Cooray	2,861,439	0.57
18.Mr. G.R.Cooray Arasaratnam	2,861,439	0.57
TOTAL	474,540,851	94.49

There were no non voting shares as at 30 June 2019

18.43% of the issued capital of the company was held by the public, comprising of 620 shareholders and a float adjusted market capitalisation of LKR 814,469,493 as at 30th June 2019. In terms of Rule 7.13.1.(b) of the listing rules of the Colombo Stock Exchange, the Company qualifies under option 1 of the minimum public holding requirement.

JETWING SYMPHONY PLC
INVESTOR INFORMATION

Directors' Shareholding

Directors	Directors' Direct Shareholding as at 30.06.2019
Mr. N.J.H.M. Cooray	21,060,311
Ms. N.T.M.S. Cooray	19,179,297
Mr. N. Wadugodapitiya	25,000
Ms. K.K. Reddy	-
Dr. V.J. Kannangara	-
Mr. L.K. Porter	-
Mr. G. Rocchi	-
Ms. T.M.J.Y.P. Fernando	-
Mr.S. D. Amalean	-

There has been no change in the Directors' direct shareholding during the 3 months ended 30 June, 2019

Note* - The Ordinary shares of the Company were listed in the Colombo Stock Exchange on 05th January 2018

1. Principal Activities and Nature of Operations

Jetwing Symphony PLC is the holding company that owns, directly and indirectly, investments in a number of companies that are involved in the business of hoteliering.

2. Basis of Preparation

The interim financial statements have been prepared in accordance with the Sri Lanka Accounting Standard (LKAS) 34- Interim financial reporting.

3. Changes in Accounting Policies

These interim financial statements have been prepared in accordance with the accounting policies set out in the Annual Report for the year ended 31.03.2019 except for the new standard adopted as follows;

- SLFRS 16 Leases

The standard sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for most leases under a single on-balance sheet model. The Group has adopted SLFRS 16 using modified retrospective method from 1st April 2019, without restating comparatives for the 2018/19 reporting period, as permitted under the specific transitional provisions in the standard.

The effect of adoption of SLFRS 16 as at 1 April 2019 (increase/(decrease)) is as follows:

Assets	Rs'000
Property, Plant & Equipment	(1,749)
Right of use assets	78,099
Prepaid lease rent	(47,049)
Total Assets	29,301
Liabilities	
Interest bearing loans and borrowings	29,301
Total Liabilities	

a) Nature of the effect of adoption of SLFRS 16

The Group has lease contracts for items such as lands and vehicles. Land leases are the major asset included in the right of use assets category, typically made for about 30 years of lease term and have extension options.

Leases previously classified as finance leases

For leases that were classified as finance leases under LKAS 17, the carrying amount of the right-of-use asset and the lease liability at 1 April 2019 are determined at the carrying amount of the lease asset and lease liability under LKAS 17 immediately before that date.

Leases classified as operating leases under LKAS 17

At transition, lease liabilities were measured at the present value of the remaining lease payments, discounted at the Group's incremental borrowing rate as at 1 April 2019. Right-of-use assets are measured at either:

- their carrying amount as if SLFRS 16 had been applied since the commencement date, discounted using the lessee's incremental borrowing rate at the date of initial application – the Group applied this approach to its largest property leases; or
- an amount equal to the lease liability, adjusted by the amount of any prepaid or accrued lease payments the Group applied this approach to all other leases.

NOTES TO THE INTERIM FINANCIAL STATEMENTS FOR THE THREE MONTHS ENDED 30TH JUNE 2019

The lease liabilities as at 1 April 2019 can be reconciled to the operating lease commitments as of 31 March 2019 as follows:

	Rs '000
Operating lease commitments as at 31 March 2019	25,000
Discounted operating lease commitments as at 1 April 2019	16,719
Add:	
Payments in optional extension periods not recognised as at 31 March 2019	12,582
Lease Liabilities as at 1 April 2019	29,301

b) Summary of new accounting policies

Set out below are the new accounting policies of the Group upon adoption of SLFRS 16, which have been applied from 1st April 2019:

Right of use assets

The Group recognises right of use assets when the underlying asset is available for use. Right of use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right of use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised right of use assets are depreciated on a straight-line basis over the shorter of its estimated useful life or the lease term.

Lease liabilities

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. In calculating the present value of lease payments, the Group uses the incremental borrowing rate at the lease commencement date if the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

Short-term leases and leases of low-value assets

The Group applies the short-term lease recognition exemption to leases that have a lease term of 12 months or less from the commencement date. It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered of low value. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

Amounts recognised in the statement of financial position and income statement set out below, are the carrying amounts of the Group's right of use assets and the movements for the period ended 30 June 2019.

Right of use Assets	Land (Rs '000)	Motor Vehicles (Rs '000)	Total (Rs '000)
As at 1st April 2019	76,350	1,749	78,099
Amortization expenses	631	-	631
Depreciation	-	264	264
As at 30th June 2019	75,719	1,485	77,204

4. Fair value measurement and related fair value disclosures

The fair values of all the financial assets and financial liabilities recognised during the period were not materially different from the transaction prices at the date of initial recognition. There were no transfers between Level 1 and Level 2 and no transfers into or out of Level 3 categories as per the fair value hierarchy, during the period.

NOTES TO THE INTERIM FINANCIAL STATEMENTS FOR THE THREE MONTHS ENDED 30TH JUNE 2019

5. There are no significant contingent liabilities as at 30th June 2019, other than the following,

Local authorities have claimed a fee amounting to 1% of turnover for the issuance of trade license for the year 2017 & 2018. The Group does not agree with such claim. The estimated contingent liability as at 30 June 2019 is Rs 17.6 Mn.

6. Information for the Three months to 30th June, 2018 has been reclassified to conform with the current presentation where applicable.
7. There are no distinguishable components to be identified as segments for the Company.
8. No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the Financial Statements.
9. Two months of the period under review relates to the off-season of the tourism industry in Sri Lanka.
10. Related Party Disclosures for the 3 months ended 30th June.
Details of the significant related party disclosures are as follows.

	Group		Company	
	2019	2018	2019	2018
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
10.1 Transactions with subsidiaries				
Amount Receivable as at 30 June	-	-	65,096	-
Nature of Transactions				
Short-term Loans granted/(settled)	-	-	4,502	-
Interest Received	-	-	1,969	-

10.2 Transactions with Other Related Parties

Some Key Management Personnel of the Group/Company and their close members of the families, collectively have control directly or indirectly in certain entities with which the Group entered into the transactions, summarised as follows:

	Group		Company	
	2019	2018	2019	2018
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Amount receivable as at 30 June	822	6	-	6
Amount payable as at 30 June	4,240	8,521	-	-
Nature of Transactions				
Transportation Charges	15	125	-	-
Purchases of Beverage & Others	2,628	3,534	-	-
Sale of Accommodation	31,202	41,137	-	-
Gratuity Transfer (Net)	4	20	-	-
Hotel Operation and Marketing Fee	12,123	13,687	-	-
Advertising Expenses and Other Reimbursemen	2,676	3,326	-	-
Laundry Charges	2,132	2,520	-	-
Sale of other items	387	520	-	-
Support Services	4,022	3,830	-	-
Vehicle Hire Income	87	188	-	-
Investor relations Expenses	-	528	-	-
Net Investment/(Redemption) in Units	-	6,600	-	-
Capital Gain from AFS Investments	-	105	-	-

10.3 Transactions with Key Management Personnel of the Company or its parent

The key management personnel of the Company are the members of its Board of Directors.

Key Management Personnel Compensation	Group		Company	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
Executive Directors Fee	-	-	-	-
Non Executive Director's Fee	540	585	540	585

10.4 Transactions with Significant Investors

	Group		Company	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
Amount receivable as at 30 June	-	-	-	-
Amount payable as at 30 June	14	67	-	-
Transport Expenses	42	184	-	-
Advertising Expenses and Other Reimbursemen	522	299	-	-
Sale of Accommodation	25,346	31,318	-	-
Vehicle Hire Income	3	-	-	-
Sale of other Items	158	96	-	-
Purchases of Beverage & Others	67	24	-	-

10.5 Loans Receivables-Related party

	Company	
	2019 Rs.'000	2018 Rs.'000
Jetwing Yala (Pvt) Ltd	24,694	-
Jetwing City (Pvt) Ltd	40,401	-
	<u>65,096</u>	<u>-</u>

Loans were provided at the rate of AWPLR + Premium p.a

10.6 Terms and Conditions

All related party transactions have been conducted on relevant commercial terms with the respective parties. All related party outstanding balances at the year end are unsecured, interest free other than in the case of funding arrangements disclosed in Note 10.5 and are to be settled in cash or its equivalents.

JETWING SYMPHONY PLC

NOTES TO THE INTERIM FINANCIAL STATEMENTS FOR THE THREE MONTHS ENDED 30TH JUNE 2019

- 11.** The Company has collected IPO funds LKR 753,282,840/- for the said objectives of the prospectus. Current status of the utilization of the said objectives are listed below:

Objective number	Objective as per Prospectus	Amount allocated as per Prospectus in (LKR Mn)	Proposed date of utilization as per Prospectus	Amount allocated in LKR Mn (A)	% of total proceeds	Amount utilized in LKR Mn (B)	% of utilized against allocation (B/A)	Clarification if not fully utilized including where the funds are invested (eg: whether lent to related party/s etc)
1	Investment in The Riverbank (Private) Limited for project completion	300	January 2018 - July 2019	300	39.8%	300	100%	
2	Investment in Pottuvil Point (Private) Limited for project completion	50	4th quarter FY18	50	6.6%	50	100%	
3	Investment in Cultural Heritage (Private Limited) for the settlement of debt	200	4th quarter FY18	200	26.6%	200	100%	
4	Investment in Jetwing Kaduruketha (Private Limited) for the settlement of debt	150	4th quarter FY18	150	19.9%	150	100%	
5	Financing future investments and working capital requirements	15	January 2018 – March 2019	15	2.0%	-	-	Unutilized funds have been temporarily granted to wholly owned subsidiary Yala Properties (Pvt) Ltd (Jetwing Yala) at an Interest rate of AWPLR + 0.75%
6	Settlement of IPO costs	38	January 2018 – March 2018	38	5.1%	24	63%	The Company has saved LKR 14 Mn from the initial estimate for IPO costs. The remaining funds would be utilized for further investment in Jetwing Kandy Gallery or other future projects if required. The unutilized funds have been temporarily granted to wholly owned subsidiary Jetwing City (Pvt) Ltd (Jetwing Colombo Seven) at an Interest rate of AWPLR + 0.75%
	Total	753		753		724	96%	